

Alumex PLC

Interim Report



3

Third Quarter

Nine Month Ended 31st December, 2023

Income Statements

For the period ended 31st December, 2023

Company	Company			Company		
Audited year ended 31.03.23 Rs.'000	Unaudited 9 months to 31.12.23 Rs.'000	Unaudited 9 months to 31.12.22 Rs.'000	Change %	Unaudited 3 months to 31.12.23 Rs.'000	Unaudited 3 months to 31.12.22 Rs.'000	Change %
10,214,848 Revenue	7,365,641	7,605,557	(3)	3,221,409	2,396,119	34
(8,165,158) Cost of sales	(5,959,693)	(6,383,576)	(7)	(2,438,970)	(1,916,087)	27
2,049,690 Gross profit	1,405,947	1,221,981	15	782,440	480,033	63
84,286 Other income	38,491	66,777	(42)	12,734	32,480	(61)
(321,925) Distribution expenses	(323,933)	(234,374)	38	(118,715)	(88,521)	34
(589,573) Administrative expenses	(620,864)	(405,176)	53	(285,435)	(145,270)	96
1,222,478 Results from operating activities	499,641	649,207	(23)	391,024	278,722	40
721,330 Finance Income	532,626	562,628	(5)	145,214	2,809	>100
(1,790,268) Finance Costs	(1,206,642)	(1,265,870)	(5)	(320,560)	(345,668)	>100
(1,068,938) Net finance costs	(674,016)	(703,243)	(4)	(175,346)	(342,859)	(49)
153,540 Profit/(Loss) before tax	(174,375)	(54,035)	>100	215,678	(64,137)	>100
(163,750) Tax (expense)/Reversal	38,828	(90,390)	>100	(64,946)	(88,665)	>100
(10,210) Profit/(Loss) for the period	(135,547)	(144,426)	>100	150,732	(152,802)	>100
Attributable to:						
(10,210) Owners of the Company	(135,547)	(144,426)	>100	150,732	(152,802)	>100
Earnings per share						
(0.02) Basic earnings per share (Rs.)	(0.23)	(0.24)		0.25	(0.26)	

Statements of Comprehensive Income

Company	Company			Company		
Audited year ended 31.03.23 Rs.'000	Unaudited 9 months to 31.12.23 Rs.'000	Unaudited 9 months to 31.12.22 Rs.'000	Change %	Unaudited 3 months to 31.12.23 Rs.'000	Unaudited 3 months to 31.12.22 Rs.'000	Change %
(10,210) Profit/(Loss) for the Period	(135,547)	(144,426)	>100	150,732	(152,802)	>100
Other Comprehensive income						
(8,932) Actuarial gains / (losses) on defined benefit plans	-	-		-	-	
2,680 Income tax effect on actuarial gains / (losses)	-	-		-	-	
- Revaluation of land	-	-		-	-	
(44,183) Income tax effect on revaluation surplus	-	(44,183)		-	(44,183)	
(50,435) Other comprehensive income/(Expense) for the period, net of tax	-	(44,183)		-	(44,183)	
(60,646) Total comprehensive income/(Expense) for the period, net of tax	(135,547)	(188,609)	>100	150,732	(196,985)	>100

Statements of Financial Position

Company		Company	
Audited		Unaudited	Unaudited
as at		as at	as at
31.03.23		31.12.23	31.12.22
Rs.'000		Rs.'000	Rs.'000
		Notes	
ASSETS			
Non - current assets			
4,650,641	Property, plant & equipment	4,672,543	4,592,509
266,293	Right of use asset/Lease Asset	229,999	251,578
85,658	Intangible assets	79,651	83,411
-	Investments in subsidiaries	-	-
5,002,592	Total non-current assets	4,982,193	4,927,498
Current assets			
3,656,606	Inventories	4,017,020	3,738,112
1,177,609	Trade and other receivables	2,247,631	1,265,610
508,049	Advances and prepayments	154,479	786,078
16,486	Income tax recoverable	-	-
156,688	Cash & cash equivalents	333,673	286,624
5,515,438	Total current assets	6,752,803	6,076,425
10,518,030	Total assets	11,734,996	11,003,924
EQUITY AND LIABILITIES			
283,735	Stated capital	4	283,735
228,056	Capital reserves	228,056	228,056
705,589	Other components of equity	700,662	710,874
2,391,217	Revenue reserves	2,260,591	2,257,963
3,608,597	Total equity attributable to owners of the parent	3,473,045	3,480,628
-	Non- controlling interest	-	-
3,608,597	Total Equity	3,473,045	3,480,628
Non - current liabilities			
656,122	Interest bearing borrowings	1,274,600	1,058,147
219,091	Non Current Portion of Lease Liabilities	202,113	-
206,975	Employee benefit obligations	222,848	178,387
444,218	Deferred tax liability	344,354	336,856
1,526,407	Total non-current liabilities	2,043,915	1,573,391
Current liabilities			
1,693,480	Trade and other payables	2,373,864	1,875,391
573,067	Current portion of long term interest bearing borrowings	520,289	316,409
76,428	Current Portion of Lease Liability	74,309	273,958
3,017,627	Short-term interest bearing borrowings	3,180,405	3,442,090
22,424	Provisions	24,620	21,754
	Other current financial liabilities	-	-
	Income tax payable	44,550	20,303
5,383,026	Total current liabilities	6,218,037	5,949,905
6,909,433	Total liabilities	8,261,952	7,523,296
10,518,030	Total equity and liabilities	11,734,996	11,003,924

The Financial Position as at 31st December 2023 and Income Statements, Statements of Comprehensive Income, Changes in Equity and Cash Flow for the Nine months then ended are drawn up from the unaudited financial statements of the Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007.

Sgd

R P P K Rajapaksha
Director / Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage
Chairman
31 January 2024

Sgd

D W P N Dediwela
Managing Director
31 January 2024

Statements of Changes in Equity

For the period ended 31st December, 2023

Alumex PLC

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total Equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2023	283,735	228,056	705,588	2,391,212	3,608,592
Profit for the period	-	-	-	(135,547)	(135,547)
Surcharge tax paid					-
Other Comprehensive income					
Actuarial gains / (losses) on defined benefit plans	-	-		-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-			-
Income tax effect on Revaluation surplus	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(135,547)	(135,547)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfers	-	-	(4,926)	4,926	-
Total contributions by and distributions to owners	-	-	(4,926)	4,926	-
Balance as at 31st December 2023	283,735	228,056	700,662	2,260,591	3,473,045

Balance as at 31st December 2022

Alumex PLC

Balance as at 1st at April, 2022	283,735	228,056	711,715	1,669,254	2,892,761
Charge relating to Surcharge Tax	-	-	-	-	-
Balance as at 1st at April, 2022	283,735	228,056	711,715	1,669,254	2,892,761
Profit for the period	-	-	-	(144,426)	(144,426)
Other Comprehensive income					
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	(44,183)		(44,183)
Depreciation Transfer for Building					-
Total other comprehensive income	-	-	(44,183)	-	(44,183)
Total Comprehensive income for the period	-	-	(44,183)	(144,426)	(188,609)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(149,651)	(149,651)
Transfer			(4,926)	4,926	-
Amalgamation Reserve- Alco Industries (Pvt) Ltd	-	-	43,341	882,786	926,127
Total contributions by and distributions to owners	-	-	38,415	738,061	776,476
Balance as at 31st December 2022	283,735	228,056	705,947	2,262,889	3,480,628

Cash Flow Statements

For the period ended 31st December, 2023

Company		Company	
Audited as at 31.03.23 Rs.'000	Cash Flows from Operating Activities	Unaudited 9 months to 31.12.23 Rs.'000	Unaudited 9 months to 31.12.22 Rs.'000
153,541	Profit before taxation	(174,375)	(54,035)
	Adjustments for,		
1,208,112	Interest cost	660,353	868,059
(17,667)	Interest income	(3,518)	(15,596)
42,689	Provision for gratuity	26,979	21,300
-	Other operating Income	(11,908)	-
(9,989)	Provision for bad debts	7,981	17,650
(36,975)	Provision/(Reversal) for Impairment of Property,Plant & Equipment	-	-
355,295	Depreciation and amortisation	272,149	260,062
1,695,008	Operating profit before working capital changes	777,661	1,097,440
(54,479)	(Increase)/ decrease in inventories	(360,415)	(135,987)
1,220,825	(Increase)/ decrease in trade and other receivables	(551,683)	778,330
15,466	(Increase)/ decrease in advances and prepayments	(21,513)	1,198
(876,396)	Increase/ (decrease) in trade and other payables	531,337	(619,485)
2,000,423	Cash generated from operating activities	375,388	1,121,494
(1,170,751)	Interest cost paid	(634,305)	(842,967)
(304,126)	Income tax paid	-	(304,123)
-	Other Income Received	11,908	-
(10,907)	Retirement benefit liability paid	(11,106)	(9,174)
514,639	Net cash from operating activities	(258,115)	(34,769)
	Cash Flows from Investing Activities		
(525,447)	Acquisition of property, plant and equipment	(248,899)	(426,331)
-	Proceeds from sale of property, plant and equipment	-	-
-	Net Proceeds from short term investments	-	-
17,667	Interest income received	3,518	15,596
(507,780)	Net cash flows used in investing activities	(245,380)	(410,735)
	Cash Flows from Financing Activities		
(551,192)	Repayment of interest bearing loans and borrowings	(434,300)	(423,125)
-	Loan obtained	1,000,000	-
(73,825)	Lease Rental Paid	(47,998)	(46,351)
-	Proceeds from interest bearing loans and borrowings	-	-
(269,373)	Dividend paid	-	(267,077)
(894,389)	Net cash flows from/ (used in) financing activities	517,702	(736,553)
(887,532)	Net increase/ (decrease) in cash and cash equivalents	14,207	(1,182,058)
(173,871)	Cash and cash equivalents from the Alco Industries (Pvt) Ltd as at the beginning of the year	-	-
(1,799,538)	Cash and cash equivalents at the beginning of the year	(2,860,939)	(1,973,408)
(2,860,939)	Cash and cash equivalents at end of the period	(2,846,732)	(3,155,465)
	Analysis of Cash & Cash Equivalents		
156,688	Cash in Hand and at Bank	333,673	286,624
(3,017,627)	Short-term interest bearing borrowings	(3,180,405)	(3,442,090)
(2,860,939)	Cash and cash equivalents at end of the period	(2,846,732)	(3,155,466)

Notes to the Financial Statements

1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2023.

The accounting policies adopted in the preparation of the Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Annual Consolidated Financial Statements for the year ended 31st March 2023.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

2 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.

3 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Company</u>		<u>Company</u>	
Audited		Unaudited	Unaudited
as at		as at	as at
31.03.23		31.12.23	31.12.22
<u>Rs.'000</u>		<u>Rs.'000</u>	<u>Rs.'000</u>
(10,209) Profit for the Period		(135,547)	(144,426)
598,605,680 Weighted Average No. of Shares		598,605,680	598,605,680
(0.02) Diluted and Basic Earnings Per Share		(0.23)	(0.24)

4 STATED CAPITAL

Audited		Unaudited	Unaudited
as at		as at	as at
31.03.23		31.12.23	31.12.22
<u>Rs.'000</u>		<u>Rs.'000</u>	<u>Rs.'000</u>
Issued and fully paid			
283,735 598,605,680 Ordinary Shares		283,735	283,735

5 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.

6 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	31.12.2023	31.12.2022
	<u>Rs.</u>	<u>Rs.</u>
Last traded price	8.10	9.90
Highest price recorded for the three months ending	9.70	11.00
Lowest price recorded for the three months ending	8.00	5.40
Market capitalisation (Rs. Mn.)	4,849	5,866

RATIOS

	31.12.2023	31.12.2022
Net assets per share	5.80	6.16
Price earnings ratio (times) (Annualised)	(47.70)	353.73
Return on Equity	-2.92%	0.49%
Return on Assets	-0.87%	0.14%
Current Ratio	1.09	1.05
Gearing	60%	59%

SHARE TRADING FROM 1st APRIL, 2023 TO 31TH DECEMBER, 2023

No. of transactions	10,257
No. of shares traded	57,205,192
Value of shares traded (Rs.)	527,279,253

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 31st DECEMBER 2023

	Name of the Shareholder	No.of Shares as at 31.12.2023	%
1	Hayleys Limited No 1 Share Investment Account	314,826,064	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	80,169,400	13.39
3	Dean Foster (Pvt) Ltd A/C No.1	28,427,800	4.75
4	Mr.D.W.P.N.Dediwela	21,338,400	3.56
5	Sampath Bank PLC/Dr. T. Senthilvel	7,800,000	1.30
6	Rubber Investment Trust Ltd A/c No. 01	5,480,421	0.92
7	Deutsche Bank AG-National Equity Fund	4,108,164	0.69
8	Seylan Bank PLC/W. D. N. H. Perera	3,490,582	0.58
9	Mr. K. D. H. Perera	2,944,907	0.49
10	SSBT-Parametric Tax-Managed Emerging Markets Fund	2,884,726	0.48
11	DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	2,800,000	0.47
12	Mr. N. G. Mahinda	2,408,469	0.40
13	Guardian Fund Management Limited/The Aitken Spence and Associated Companies Executive Staff Provident Fund	2,314,838	0.39
14	Bank of Ceylon No. 1 Account	2,254,360	0.38
15	Mr. J. W. Nanayakkara /Mrs. H. D. Nanayakkara	2,100,000	0.35
16	Mr. G. B. D. Tilakaratne	2,011,884	0.34
17	Mr. A. M. Weerasinghe	2,000,000	0.33
18	Industrial Asphalts (Ceylon) PLC	1,790,395	0.30
19	Mr. A.L.F. De Mel	1,600,000	0.27
20	Keystone (Private) Limited	1,600,000	0.27
	OTHERS	106,255,270	17.75
	TOTAL	598,605,680	100

There were no non voting shares as at 31 December 2023.

PUBLIC HOLDING

Percentage of public holding as at 31.12.2023 25.60%

Total number of shareholders representing the public holding 5,218

Flot-adjusted market capitalization Rs. 1,241,268,738

The Company complies with option 1 of the Listing Rules 7.13.1 (i) (b) – Which requires Float Adjusted Market Capitalization of Rs.1 Bn and minimum number of shareholders of 200

DIRECTORS' SHAREHOLDINGS AS AT 31st DECEMBER 2023

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No of Shares
Mr.A.M.Pandithage	20,000
Mr.D.W.P.N.Dediwela	21,338,400
Mr.S.C.Ganegoda	460,000
Mr.S.Munawecera	40,000
Mr.R.P.P.K. Rajapaksha	39,814
Total	21,898,214

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman
D W P N Dediwela – Managing Director
S C Ganegoda – Deputy Chairman
A A Akbarally
Dr. L J S H Cabral, PC
S Munaweera
R P P K Rajapaksha
D T R de Silva (Appointed w.e.f. 3rd January 2024)
M J S Rajakariar (Appointed w.e.f. 3rd January 2024)
R P Pathirana (Resigned w.e.f. 30th June 2023)
A J Hirdaramani (Alternate Director to R P Pathirana – Ceased to be an Alternate w.e.f. 30th June 2023)
T Akbarally (Alternate Director to A A Akbarally - Resigned w.e.f. 3rd January 2024)

AUDIT COMMITTEE

S Munaweera - Chairman
Dr.H.Cabral, PC

REMUNERATION COMMITTEE

Dr. L J S H Cabral, PC - Chairman
S Munaweera

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7655
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House, NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank of Ceylon
Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office, No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

Citi Bank N.A. Colombo.
65C, Dharmapala Mawatha,
Colombo 07, Sri Lanka

Standard Chartered Bank
37 York Street
Colombo 1

People's Bank
Head Office, No.75, Sir Chittampalam A Gardiner Mawatha
Colombo 02

Nation Trust Bank PLC
Millennium House,
Nawam Mawatha, Colombo 02

National Development Bank
No.40, Nawam Mawatha, Colombo 02